MILESTONES

AN INDUSTRIAL CHURNING

From Socialist Big State to Licence Raj to Liberalisation to Aatmanirbhar Bharat, Indian manufacturing has seen many lows and highs

THE INDUSTRIAL POLICY RESOLUTION OF 1948
focuses on enhancing production and ensuring equitable distribution by stressing the role of the state in industrial activity

THE INDUSTRIAL DEVELOPMENT & REGULATION ACT, 1951
requires that industries get a licence to set up and expand; a specified schedule of industries is created to denote the various licences needed

LIBERALISATION AND THE NEW ECONOMIC POLICY 1991
transforms India's industrial and manufacturing landscape

AATMANIRBHAR BHARAT ABHIYAN
announced in May 2020, aims to encourage domestic production and reduce our dependence on imports, especially from China

In February 2021, the Narendra Modi-led government announces an outlay of **Rs 1.97 lakh crore** across 14 key sectors for a Production-Linked Incentive scheme to create **'NATIONAL MANUFACTURING CHAMPIONS'**



GETTY IMAGES

Since Independence in 1947, the domestic manufacturing sector has travelled from building the country's industrial foundation (1950-1960s) to the licence-permit raj (1965-1980s) and liberalisation in the 1990s to the current phase of striving for global competitiveness. Manufacturing now contributes around 17 per cent to India's GDP and employs around 20 per cent of the country's workforce.

After the IT and telecom revolution in the late 1980s came liberalisation in 1991, when then PM P.V. Narasimha Rao and his finance minister Manmohan Singh took several measures to abolish the Licence Raj. Trade was liberalised and extensive reforms taken up in the financial sector.

The Atal Bihari Vajpayee regime (1998-2004) was marked by aggressive disinvestment of a few state-owned units. The UPA-I government under Manmohan Singh (2004-09), supported by the Left parties as it was, had no room for privatisation, but still sold 5-20 per cent stake in PSUs through IPOs and secondary issues. The Narendra Modi government, through its Aatmanirbhar Abhiyan, aims to build domestic capabilities so that Indian companies gain an edge in global markets, even while easing restrictions to attract more foreign investment. ■